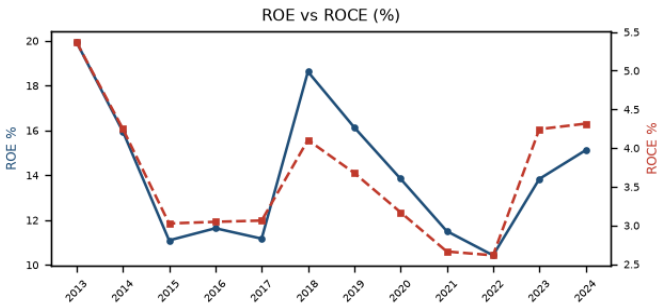
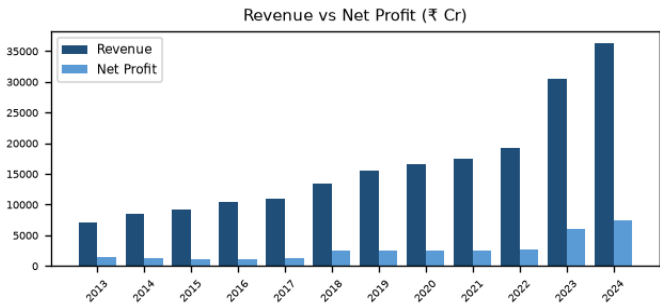


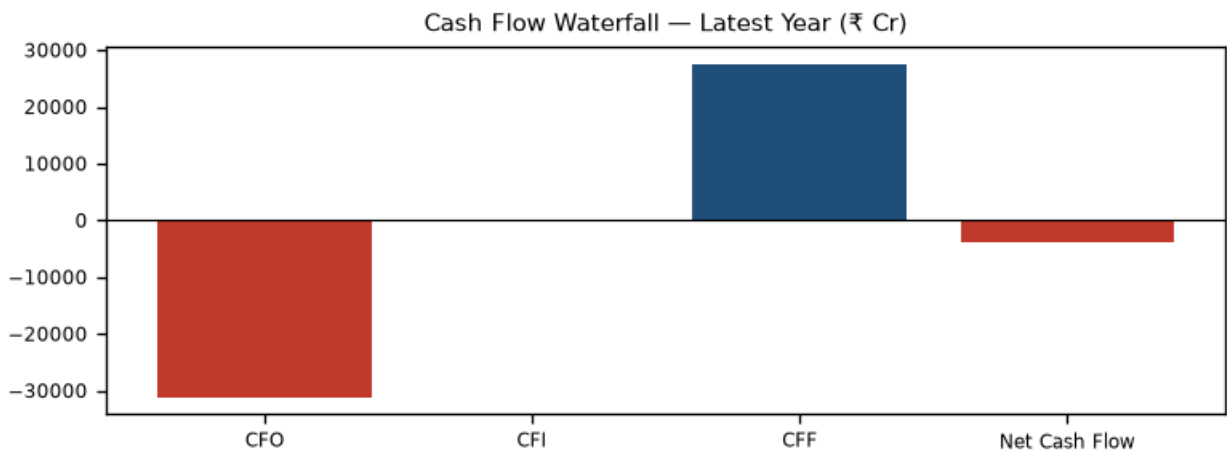
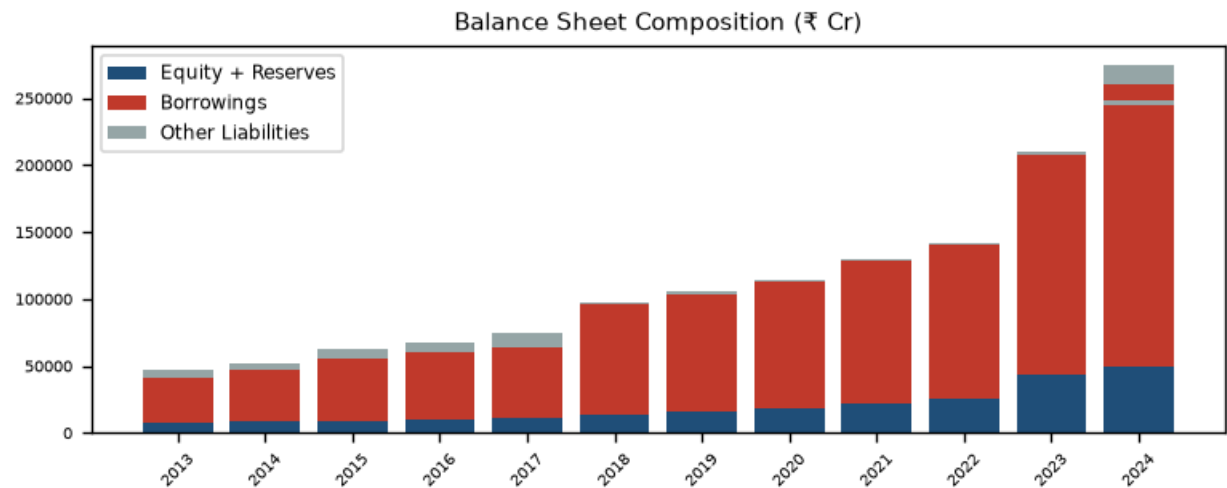
Shriram Finance Ltd (SHRIRAMFIN)

Financials — Consumer Finance

ROE	ROCE	Net Profit Margin
15.1%	4.3%	20.3%
D/E	Revenue CAGR (5yr)	FCF (latest, Cr)
4.0x	18.6%	-31359



Shriram Finance Ltd (SHRIRAMFIN) — Balance Sheet & Cash Flow



Capital Allocation Pattern: Growth Funded by Debt

Pros

- ✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (64% confidence)
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (62% confidence)
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (62% confidence)
- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality (75% confidence)
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (65% confidence)

Cons

- ✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality (85% confidence)
- ✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations (85% confidence)
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (66% confidence)
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (80% confidence)